



ADVANCED ACCOUNTING (110)

STATE 2025

Multiple Choice (30 @ 2 points each)	_____ (60 points)
Short-Answer	_____ (51 points)
Problem 1 – Depreciation	_____ (48 points)
Problem 2 – Notes Payable Transactions	_____ (44 points)
Problem 3 – Income Statement and Analysis	_____ (55 points)
<i>TOTAL POINTS</i>	_____ (258 points)

**Graders: Please double check and verify all
scores and answer keys!**

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice—(30 @ 2 points each)

1.	D	16.	B
2.	A	17.	B
3.	C	18.	D
4.	D	19.	C
5.	A	20.	B
6.	D	21.	A
7.	A	22.	A
8.	C	23.	B
9.	C	24.	B
10.	B	25.	C
11.	B	26.	A
12.	C	27.	B
13.	C	28.	B
14.	A	29.	A
15.	A	30.	A

Short-Answer Problems – 3 points each on problems #1-#3, 1 point each on problem #4. 51 total points.

1. a. Dr Account – Equipment
Cr Account – Molly Riker, Capital

Dr Amount 3,800
Cr Amount 3,800

- b. 80,736
c. 53,824
d. 113,521
e. 80,084

2. a. 5,000
b. 11,000
c. 0.11

3. a. 2,337.30
b. 2,504.45
c. 2,426.08 or 2,425.56

4. Note to Grader – 1 point for each shaded area in the table

Department	Square Footage	Rent Expense	Utilities Expense	Insurance Expense
Apparel	4,500	1,800	1,530	900
Shoes	2,000	800	680	400
Equipment	3,500	1,400	1,190	700

Problem 1 – Depreciation – 2 points each; 48 points total

Depreciation Method	Straight-Line	Double-Declining Balance	Units-of-Production
2025 Depreciation Expense	14,800	32,800	13,320
2025 Ending Book Value	67,200	49,200	68,680
2026 Depreciation Expense	14,800	19,680	15,540
2026 Ending Book Value	52,400	29,520	53,140
2027 Depreciation Expense	14,800	11,808	16,650
2027 Ending Book Value	37,600	17,712	36,490

Depreciation Method	Gain or Loss	Amount of Gain or Loss
Straight-Line	Loss	1,900
Double-Declining Balance	Gain	16,059.20
Units-of-Production	Loss	1,012

Problem 2 – Notes Payable Transactions – 2 points per correct account and correct amount, including the debit and credit being correct; 44 total points

April 1, 2025 – Purchased equipment using a \$20,000, 5-year, 7% note payable. The note requires annual principal payments of \$4,000 plus interest every April 1.

Accounts	Debit	Credit
Equipment	20,000	
*Notes Payable		20,000

***Note to Grader – Accept Long-Term Notes Payable as correct**

December 31, 2025 – Record adjusting entry to accrue interest for 2025 on the note.

Accounts	Debit	Credit
Interest Expense	1,050	
Interest Payable		1,050

January 1, 2026 – Record reversing entry for interest expense for 2025 on the note.

Accounts	Debit	Credit
Interest Payable	1,050	
Interest Expense		1,050

April 1, 2026 – Paid the first installment of the note plus interest.

Accounts	Debit	Credit
*Notes Payable	4,000	
Interest Expense	1,400	
Cash		5,400

December 31, 2026 Record adjusting entry to accrue interest for 2025 on the note.

Accounts	Debit	Credit
Interest Expense	840	
Interest Payable		840

Problem 3 – Income Statement and Analysis – Each shaded area worth 2 points on the statement, each financial analysis item worth 3 points – 55 total points

Cardinal Corporation			
Income Statement			
For Year Ended, December 31, 2025			
			%
Sales		1,458,600	100.0
Cost of Goods Sold		790,450	54.2
Gross Profit		668,150	45.8
Operating Expenses:			
Selling Expense	146,600		10.1
Rent Expense	70,000		4.8
Salary Expense	241,500		16.6
Depreciation Expense	71,825		4.9
Bad Debt Expense	11,345		0.8
Interest Expense	16,000		1.1
Total Operating Expenses		557,270	38.2
Income from Operations		110,880	7.6
Loss on Sale of Equipment		(2,500)	(0.2)
Income Before Taxes		108,380	7.4
Income Tax Expense		23,785	1.6
Net Income		84,595	5.8

- a. Gross Profit Percent 45.8%
- b. Operating Margin 5.8%
- c. EPS 1.69
- d. P/E Ratio 23.52 or 23.5
- e. Return on Equity 11.0%